

FEDERAL MARITIME COMMISSION

-----X
TZ SSE BUYER, LLC,

Complainant,

-against-

YANG MING MARINE TRANSPORT.
CORP.,

Respondent.
-----X

Docket No. 24-10

RESPONDENT’S RESPONSE TO
COMPLAINANT’S PROPOSED
FINDINGS OF FACT

Pursuant to the Order dated November 15, 2024, Respondent, Yang Ming Marine Transport Corp. (“Yang Ming”), by its attorneys, Mahoney & Keane, LLP, responds, seriatim, to the Proposed Findings of Fact propounded by Complainant, TZ SSE Buyer, as follows:

CPFF 1: This case arises from a Verified Complaint originally filed on February 14, 2024, by Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”), alleging that Respondent Yang Ming Marine Transport Corp. (“Respondent”) violated the Shipping Act of 1984. **(Doc. No. 1.)**

RESPONSE: Yang Ming admits the allegation.

CPFF 2: On September 27, 2024, the former complainants, Impact Products and Safety Zone, filed a motion for leave to amend the Verified Complaint. **(Doc. No. 13.)** In the motion, they requested that TZ SSE Buyer, LLC (“Complainant”) be substituted as the sole complainant following their Chapter 11 bankruptcy and the sale of all of their assets, including all claims and causes of action, to Complainant. **(Id.)**

RESPONSE: Yang Ming denies the allegation, inasmuch as the sale of the assets does not appear to have included the present cause of action, which was never declared in the bankruptcy

proceedings. (Hallet Deposition, RX23-24); see also, 24 bk 11054, Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222.

CPFF 3: On October 4, 2024, the Presiding Officer granted the motion, and the Verified Amended Complaint was filed on the same date. It was subsequently served on Respondent on October 8, 2024. **(Doc. No. 14.)**

RESPONSE: Yang Ming admits the allegation.

CPFF 4: In the Verified Amended Complaint (the “Complaint”), Complainant, as the successor-in-interest to Impact Products and Safety Zone, alleges that Respondent violated 46 U.S.C. § 41102(c) and the Federal Maritime Commission’s (“FMC” or “Commission”) Interpretive Rule on Demurrage and Detention by failing to establish and enforce just and reasonable practices related to the receipt, handling, storage, and delivery of cargo. **(Doc. No. 15, ¶¶ 12, 19, 32.)**

RESPONSE: Yang Ming admits that such allegations were contained in the Complaint but denies the truth of the matters asserted. (Answer, Docket Entry No. 21).

CPFF 5: Specifically, Complainant asserts that Respondent imposed demurrage, detention, per diem, and yard storage charges on Impact Products and Safety Zone, through Laufer Group International (“Laufer”), during 2021 and 2022. **(Id. ¶¶ 14–15.)** These charges were assessed for delays caused by systemic issues beyond the control of Laufer, Impact Products and Safety Zone, including port congestion and equipment shortages. **(Id. ¶¶ 3–4, 23–24.)**

RESPONSE: Yang Ming admits that such allegations were contained in the Complaint but denies the truth of the matters asserted. (Answer, Docket Entry No. 21).

CPFF 6: Complainant further alleges that Respondent’s practices constitute an unreasonable refusal to deal or negotiate in violation of 46 U.S.C. § 41104(a)(10). **(Id. ¶¶ 13, 34.)**

RESPONSE: Yang Ming admits that such allegations were contained in the Complaint but denies the truth of the matters asserted. (Answer, Docket Entry No. 21).

CPFF 7: In its answers to the Complaint, Respondent denies or claims to lack knowledge of all allegations made by Complainant in the Complaint. (**Doc. No. 21, ¶¶ 2–9.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 8: Complainant is a Delaware limited liability company that acquired all assets of Impact Products and Safety Zone, including all rights and causes of action, through their bankruptcy sale. (**Doc. 13, p. 2 (Exhibit 2); Doc. 15, ¶ 2.**) This acquisition specifically included the claims brought in this case against Respondent. (**Doc. 13, p. 2 (Exhibit 2); Doc. 15, ¶ 2.**)

RESPONSE: Yang Ming denies the allegation. Complainant cites only its own Complaint, so the contention is unsupported by the factual record. And, in fact, the bankruptcy court docket and the testimony of Complainant’s witness, confirm that the present claim was undeclared and thus not passed on to Complainant as successor-in-interest. (Hallet Deposition, RX23-24; 24 bk 11054, Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222).

CPFF 9: Impact Products and Safety Zone were leading U.S. based suppliers in their respective industries. (**Doc. No. 15, ¶ 6.**) Impact Products specialized in manufacturing and distributing cleaning supplies and accessories, while Safety Zone focused on safety equipment and personal protective equipment. Both companies operated under the parent corporation Supply Source Enterprises, Inc. (“Supply Source”). (*Id.*)

RESPONSE: Yang Ming denies the allegation as unsupported by the factual record, inasmuch as Complainant cites only to its own Complaint.

CPFF 10: Impact Products and Safety Zone were considered “shippers” under to 46 U.S.C. § 40102(23). (**Doc. No. 15, ¶ 6.**)

RESPONSE: Yang Ming denies the allegation as unsupported by the factual record, inasmuch as Complainant cites only to its own Complaint. Moreover, legal conclusions are improperly included in Complainant’s Proposed Findings of Fact, and Yang Ming defers all matters of law to the Administrative Law Judge.

CPFF 11: In May 2024, Supply Source and its affiliates, including Impact Products and Safety Zone, filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del.). (**Doc. No. 15, ¶ 2.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 12: On July 10, 2024, all assets of Impact Products and Safety Zone, including all rights and causes of action, were sold to Complainant TZ SSE Buyer, LLC as part of a Chapter 11 bankruptcy sale. (*See Doc. No. 15, ¶ 2; Doc. No. 13, pp. 2–3 (Exhibit 2).*)

RESPONSE: Yang Ming denies the allegation. The instant claim was not listed as required pursuant to 11 U.S.C. § 521, and Complainant is thus estopped from pursuing it. (Hallet Deposition, RX23-24; 24 bk 11054, Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222).

CPFF 13: Respondent is a global ocean carrier, as defined under 46 U.S.C. § 40102(18), regulated by the Federal Maritime Commission (“FMC”). (**Doc. No. 15, ¶¶ 8–9, 11; Ex. 2, CX_000016.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 14: Headquartered in Taiwan, Respondent operates across numerous countries, including the United States. (**Doc. No. 15, ¶¶ 8–9, 11; see Ex. 2, CX_000016.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 15: Respondent conducts its business operations in the United States through its agent, Yang Ming (America) Corp, a company existing under the laws of the State of Texas

with offices located at 3250 Briarpark Drive, Suite 201, Houston, TX 77042. (**Doc. No. 15, ¶¶ 8–9, 11.**)

RESPONSE: Yang Ming admits that Yang Ming (America) Corp. is its agent and otherwise denies the allegation as unsupported, since Complainant cites only to its own Complaint. (Answer, Docket No. 21).

CPFF 16: As a common carrier, Respondent provides containerized cargo transportation services to shippers around the world. (**Doc. No. 15, ¶¶ 8–9, 11; Ex. 2, CX_000016.**) These services involve receiving, handling, storing, and delivering goods using its fleet of ocean vessels and a comprehensive logistics network. (**Doc. No. 15, ¶¶ 8–9, 11; see Ex. 2, CX_000016.**)

RESPONSE: Yang Ming admits it is an ocean carrier and otherwise denies the allegation, as Complainant cites only to its own Complaint and deposition testimony which does not support the allegation.

CPFF 17: Under 46 U.S. Code § 41102(c), Respondent is required to establish, observe, and enforce just and reasonable practices in its handling and transportation of cargo. Additionally it must comply with FMC guidance regarding demurrage and detention charges. (**Doc. No. 15, ¶¶ 8–9, 11–12.**)

RESPONSE: Yang Ming denies the allegation as unsupported by the factual record, inasmuch as Complainant cites only to its own Complaint. Moreover, legal conclusions are improperly included in Complainant’s Proposed Findings of Fact, and Yang Ming defers all matters of law to the Administrative Law Judge.

CPFF 18: During 2021 and 2022 (the “Relevant Period”), Respondent transported Impact Products’ and Safety Zone’s goods from ports outside of the United States to United States

ports, container yards, or rail yard for further inland distribution using its shipping containers and ocean vessels. (**Doc. 15, ¶¶ 14–15; Ex. 1, CX_000003–000005.**)

RESPONSE: Yang Ming denies the allegation as unsupported. Even the cited documents, viz. Complainant’s own Complaint and self-serving Declaration (submitted after the witness’s deposition testimony which was omitted from Complainant’s Appendix), speak of Laufer, not Yang Ming. Yang Ming had no contract or direct dealings with Complainant, Impact Products, or Safety Zone. (Hallett Deposition, RX20).

CPFF 19: These shipments were arranged and coordinated through Laufer Group International (“Laufer”), a non-vessel operating common carrier (“NVOCC”) acting as Impact Products’ and Safety Zone’s intermediary. (*See id.*)

RESPONSE: Yang Ming admits that Laufer functioned as their NVOCC and contracted with Yang Ming for ocean transportation but denies Laufer’s characterization as a mere “intermediary”. Laufer undertook carrier services pursuant to its own tariff or service agreement exceeding those provided by Yang Ming. (Anki Deposition, RX-27-29).

CPFF 20: Respondent either leases terminal space at U.S. ports or owns terminal space, either partially or fully, at certain locations. (**Ex. 2, CX_000019.**) Specifically, Respondent holds an ownership interest in its terminal space at the Port of Los Angeles. (*Id.*)

RESPONSE: Yang Ming denies the allegation. In the cited page and elsewhere, the testimony was that Yang Ming as part of a consortium had only a small ownership interest in one terminal.

CPFF 21: Respondent has acknowledged that it regularly assesses demurrage, detention, per diem, and other accessorial charges as part of its normal, customary, and continuous business practices. (*See Ex. 2, CX_000017.*)

RESPONSE: Yang Ming admits the allegation.

CPFF 22: Laufer is a global logistics company and a registered NVOCC, as defined under 46 U.S.C. § 40102(17). (**Doc. 15, ¶¶ 14–15.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 23: During 2021 and 2022, Impact Products and Safety Zone contracted with Laufer to manage the transportation and delivery of goods they purchased overseas. (***Id.*; Ex. 1, CX_000002–000004.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 24: Laufer handled all logistics associated with these shipments, including securing container space and arranging transport on ocean carrier vessels to ensure the goods were shipped from outside the United States to the United States. (**Doc. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004.**)

RESPONSE: Yang Ming admits the allegation.

CPFF 25: To fulfill this role, Laufer entered into agreements with Respondent to secure container space on Respondent’s ocean vessels and coordinate shipping services for Impact Products’ and Safety Zone’s cargo. (**Doc. 15, ¶ 11; CX_000002–000004; *see* Ex. 2, CX_000020.**)

RESPONSE: Yang Ming admits that Laufer entered into agreements with Yang Ming for vessel space but denies it entered into any agreements to coordinate shipping services for the cargoes; such services would have been performed by Laufer pursuant to its agreement with Impact Products and Safety Zone. Nor did Laufer entered into agreements for vessel space for the cargoes with Yang Ming exclusively; several other carriers were also employed. (CX 8).

CPFF 26: Once the containers carrying Impact Products’ and Safety Zone’s goods arrived at U.S. ports and were offloaded from the vessels to Respondent’s terminals within the

ports or to a container yard or rail yard, Laufer arranged for drayage companies to pick up the containers, deliver them to their next destination, and return the empty containers to the designated location. (Ex. 1, CX_000002–000003.)

RESPONSE: Yang Ming admits the allegation.

CPFF 27: Laufer used the following drayage companies: (1) Transnet, Inc.; (2) Sunburst Truck Lines, Inc.; (3) Galasso Trucking, Inc.; (4) Itz- Ohlson Transport, Inc.; (5) Sunteckts, a Mode Global Company; (6) D&M Trucking Services; (7) Golden State Logistics; (8) Miken Cartage, Inc.; (9) Steam Logistics LLC; (10) RoadOne IntermodaLogistics, Inc.; (11) Total Quality Logistics, LLC; and (12) Forward Air Freight Inc. (Ex. 3, CX_000028–29.)

RESPONSE: Yang Ming denies the allegation as unsupported by the cited document, which is merely the list of witnesses in Complainant’s Initial Disclosures.

CPFF 28: In addition to booking and coordinating logistics, Laufer was responsible for handling billing. (Ex. 1, CX_000003–000004.) Laufer received charges from the drayage companies, which were issued by Respondent and included demurrage, detention, per diem, and yard storage fees. (*Id.*) Laufer then passed these charges on to Impact Products and Safety Zone without any markup. (*Id.*)

RESPONSE: Yang Ming denies the allegation. According to the cited document and otherwise, the information is based on hearsay; Yang Ming did not issue invoices to Laufer for yard storage fees; and Laufer may have also issued its own charges under its own rates. (Hallett Deposition, RX20; Anki Deposition, RX27-29).

CPFF 29: During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 2,149 containers (collectively referred to as “Relevant Containers”) using Respondent’s ocean vessels. (Doc. No. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004.) Respondent

imposed demurrage charges on 309 containers, detention charges on one container, per diem charges on 39 containers, and yard storage charges on 358 containers, amounting to a total of \$1,304,526.00 (collectively referred to as the “Charges”). (Doc. No. 15, ¶¶ 14–15; Ex. 1, CX_000002–000004; Ex. 4, CX_000032–58.)

RESPONSE: Yang Ming denies the allegation, as not all charges originated from Yang Ming. (Anki Deposition, RX27-29).

CPFF 30: Although Laufer invoiced Impact Products and Safety Zone for the charges, it acted solely as a conduit for Respondent’s assessments. (Doc. No. 15, ¶¶ 14–17; Ex. 1, CX_000003–000005.) Impact Products and Safety Zone paid Laufer the full \$1,304,526.00, which Laufer then used to pay Respondent. (Doc. No. 15, ¶¶ 14–17; Ex. 1, CX_000003–000005.)

RESPONSE: Yang Ming denies the allegation as unsupported, since, according to the cited document and otherwise, the information is based on hearsay from Laufer, and Laufer may have also issued its own charges under its own rates. (Hallett Deposition, RX20; Anki Deposition, RX27-29).

CPFF 31: On April 4, 2024, Laufer formally assigned the claims arising from these charges to Impact Products and Safety Zone. (Doc. No. 15, ¶¶ 17 (Exhibit A); Ex. 1, CX_000003–000004.)

RESPONSE: Yang Ming admits the claim was assigned but denies the validity of an assignment unauthorized by the parties’ contract and partially time-barred. (CX8).

CPFF 32: During the Relevant Period, the shipping industry faced unprecedented challenges stemming from severe equipment shortages, and widespread port congestion. (Ex. 6, CX_000072.)

RESPONSE: Yang Ming admits the allegation.

CPFF 33: These systemic issues, exacerbated by the COVID-19 pandemic, were widely reported and well-known throughout the industry, including by regulatory authorities such as the Federal Maritime Commission (“FMC”). (*See generally*, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.)

RESPONSE: Yang Ming admits the allegation.

CPFF 34: According to the FMC’s 61st Annual Report for Fiscal Year 2022, during fiscal year 2022, U.S. exporters and importers dealt with supply chain challenges, including port congestion, significant demurrage and detention charges, and a lack of appointments, equipment, and vessel space. (Ex. 6, CX_000072.)

RESPONSE: Yang Ming admits the allegation but notes such challenges also included availability issues for shippers and truckers, warehousemen, yard operators, and others, under their control.

CPFF 35: A surge in consumer demand, combined with port bottlenecks and equipment imbalances, created cascading disruptions throughout the supply chain. (*See generally*, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.)

RESPONSE: Yang Ming admits the allegation but denies Complainant has presented any proof the charges at issue arose from conditions beyond the shipper’s control. See, Response No. 68 supra.

CPFF 36: For example, at the Port of Los Angeles, import volumes surged by 27% in June 2021 compared to the previous year, while the number of empty containers increased by 47%. This led to severe congestion, making it increasingly difficult to unload containers and move them out before free time periods expired. (*See* Ex. 8, CX_000093.)

RESPONSE: Yang Ming admits the allegation but denies Complainant has presented any proof the charges at issue arose from conditions beyond the shipper's control. See, Response No. 68 supra.

CPFF 37: As a result, equipment shortages worsened, further straining U.S. exporters and importers' ability to manage freight operations. (*See generally*, Ex. 5, CX_000063–66; Ex. 6, CX_000072; Ex. 7, CX_000074–000087; Ex. 8, CX_000089–101.) The imbalance in container and chassis availability caused containers to remain stuck at ports, compounding delays and hindering cargo movement. (*Id.*)

RESPONSE: Yang Ming admits the allegation but denies Complainant has presented any proof the charges at issue arose from conditions beyond the shipper's control. See, Response No. 68 supra.

CPFF 38: These widespread issues directly impacted Impact Products' and Safety Zone's ability to retrieve and return containers in a timely manner. (Ex. 1, CX_000005.)

RESPONSE: Yang Ming denies the allegation. Complainant has in a blunderbuss and conclusory fashion generally attributed all its charges to such issues without any evidence whatsoever to back up the allegation in even one specific instance. (Hallett Deposition, RX20-22; Anki Deposition RX32-39).

CPFF 39: Specific evidence of these challenges is reflected in an email dated February 10, 2021, from Miken Cartage Inc., a drayage company used by Laufer to transport the Relevant Containers, to Laufer. The email states:

Hello guys
Just want to bring to light what we are going through here ... There is a severe chassis shortage and there is severe congestion at all of the rails which is hampering our ability to get containers pulled and returned with[in] the free time... I know you understand we do everything in our power to get your containers off of the rail in

the free time and are good stewards of your business. Things are just extremely tough right now, extremely.

(Ex. 9, CX_000103–000105.)

RESPONSE: Yang Ming denies the allegation. The cited communication occurred more than three years prior to the assignment pursuant to which this claim is brought, so any charges related to it would be time-barred. (Assignment, CX8) Yang Ming is not included in the communication and had no knowledge of it. It is only general observation. There is no evidence the communication relates to a charge at issue in this claim. The communication contains no evidence concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge.

CPFF 40: Similarly, in an email dated January 11, 2021, from Forward Air Freight, Inc., another drayage company used by Laufer to transport the Relevant Containers, the staff highlighted the severity of the chassis shortage:

Pl[ease] remember chassis are the issue[.] There are none around. We have to reuse the chassis that are already out. Every trucker is keeping them and not returning due to the shortage... We will keep you posted but pl[ease] do understand there are factors outside of our control and we are trying to control as much as we can.

(Ex. 10, CX_000113–000114.)

RESPONSE: Yang Ming denies the allegation. Yang Ming didn't lease or supply chassis. The shipments in this case were made on a "CY/CY" basis, so the obligation to obtain a chassis fell squarely on the shipper. (Service Contract, RX7) ("Carrier shall not be obligated to provide chassis for shipments designated for Port or Container Yard (CY) delivery. Shipper must secure an appropriate chassis at its own expense prior to receiving containers (empty or loaded) at the

Port or Container Yard (CY).”) In any event, the cited communication occurred more than three years prior to the assignment pursuant to which this claim is brought, so any charges related to it would be time-barred. Yang Ming is not included in the communication and had no knowledge of it. It is only general observation. There is no evidence the communication relates to a charge at issue in this claim. The communication contains no evidence concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge.

CPFF 41: Numerous other examples from drayage companies to Laufer illustrate their frustrations with the unprecedented equipment shortages and congestion issues that plagued the transportation of the Relevant Containers. (*See generally*, Ex. 11, CX_000126–134; Ex. 12, CX_000135–140; Ex. 13, CX_000141–150.)

RESPONSE: Yang Ming denies the allegation. Some of the cited communication occurred more than three years prior to the assignment pursuant to which this claim is brought, so any charges related to it would be time-barred. Yang Ming is not included in some of the communications and had no knowledge of them. They are only general observations. There is no evidence the communications relate to a charge at issue in this claim. The communications contain no evidence concerning the specific causes of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge.

CPFF 42: Emails exchanged between Laufer and Respondent demonstrate that Laufer explicitly informed Respondent of the severe equipment shortages and congestion issues impacting

container pickups. For example, in an email dated June 22, 2022, Safety Zone informed both Laufer and Respondent about delays related to one of the Relevant Containers, stating:

"[T]here is a chassis shortage and the trucker will pick this up as soon as they can."
(Ex. 14, CX_000152.)

RESPONSE: Yang Ming denies the allegation. This is only a general observation. There is no evidence the communication relates to a charge at issue in this claim. The communication contains no evidence concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge. Yang Ming also notes that this is one of only three e-mails including Yang Ming in copy concerning any such allegations in this case.

CPFF 43: Similarly, in an email dated June 23, 2022, Laufer directly informed Respondent about the ongoing challenges in securing chassis for container pickups. When Respondent inquired about the pickup schedule for one of the Relevant Containers, Laufer responded:

"Hello Joann, There is a big problem with chassis as you are probably aware of. Trucker will pick up once they have chassis." (Ex. 15, CX_000163.)

Despite this clear communication, Respondent continued to send perfunctory one-word "reminder" emails every other day and shared a demurrage bill that Laufer was responsible for paying. (*Id.* CX_000160–000163.)

RESPONSE: Yang Ming denies the allegation. This is only a general observation. There is no evidence the communication relates to a charge at issue in this claim. The communication contains no evidence concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And,

fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge. And the alleged shortage concerned pick up at the rail terminus, with which Yang Ming had no role and sent reminders purely as a courtesy. (Anki Deposition, RX32-39). Yang Ming also notes that this is one of only three e-mails including Yang Ming in copy concerning any such allegations in this case.

CPFF 44: In an email chain dated May 26, 2022, Mike Cartage, one of Laufer's drayage providers, informed Laufer and Respondent:

“[Safety Zone] has a large volume of Yang Ming also notes that this is one of only three e-mails including Yang Ming in copy concerning any such allegations in this case., and we are managing the best we can considering the severe deficit of chassis ... We are quite aware of the containers we have to move and are prioritizing things as best as we can.” (Ex. 16, CX_000170.)

In the same email exchange, Laufer advised Helen from Respondent:

“Trucker will pick up as soon as they resolve chassis issue.” (*Id.*)

RESPONSE: Yang Ming denies the allegation. This is only a general observation. There is no evidence the communication relates to a charge at issue in this claim. The communication contains no evidence concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any particular charge. And the alleged shortage concerned pick-up at the rail terminus, with which Yang Ming had no role and sent reminders purely as a courtesy. (Anki Deposition, RX27-31). Yang Ming also notes that this is one of only three e-mails including Yang Ming in copy concerning any such allegations in this case.

CPFF 45: The emails exchanged between Laufer, the drayage companies responsible for transporting Impact Products' and Safety Zone's goods, and Respondent were corroborated by

deposition testimony from Respondent's corporate representative, Ms. Osana Anki ("Ms. Anki"), Assistant Vice President of Import Customer Service for Yang Ming America Corporation.

RESPONSE: Yang Ming denies the allegation as unsupported by any cited document.

CPFF 46: During her deposition, Ms. Anki admitted that Respondent was aware of the severe chassis shortage during the Relevant Period. (**Ex. 2, CX_000023.**) She testified that Respondent's employees were informed about these shortages by truckers. (*Id.*)

RESPONSE: Yang Ming admits the allegation but denies any evidence has been presented to show that the shortages complained of during this period had anything to do with the specific charges at issue in this claim, as to which simply no proof is apparent from the record. See, Response No. 68 supra.

CPFF 47: Ms. Anki further testified that Respondent was aware of widespread port congestion and equipment shortages through the Relevant Period. (*Id.* CX_000021–22.) She acknowledged that these issues were significant and pervasive, impacting operations across multiple levels. (*Id.*)

RESPONSE: Yang Ming admits the allegation but denies any evidence has been presented to show that the shortages complained of during this period had anything to do with the specific charges at issue in this claim, as to which simply no proof is apparent from the record. See, Response No. 68 supra.

CPFF 48: Moreover, Ms. Anki admitted that Respondent's vessels experienced delays and were unable to be 'processed' at U.S. ports due to these conditions. (*Id.*) As a result, Respondent's vessels were left idling in the ocean, causing financial losses. (*Id.*) She also conceded that containers piled up at U.S. ports during the Relevant Period, further exacerbating congestion issues. (*Id.*)

RESPONSE: Yang Ming admits the allegation but denies any evidence has been presented to show that the shortages complained of during this period had anything to do with the specific charges at issue in this claim, as to which simply no proof is apparent from the record. See, Response No. 68 supra.

CPFF 49: Ms. Anki also noted that drayage companies faced significant challenges accessing ports and Respondent's terminals, testifying that truckers "stayed in line ... longer than usual." (*Id.* CX_000022.)

RESPONSE: Yang Ming admits the allegation but denies any evidence has been presented to show that the shortages complained of during this period had anything to do with the specific charges at issue in this claim, as to which simply no proof is apparent from the record. See, Response No. 68 supra.

CPFF 50: Collectively, Ms. Anki's testimony and the email correspondence between Laufer, the drayage companies, Impact Products/Safety Zone and Respondent establish that Respondent was fully aware of the widespread challenges caused by chassis shortages, port congestion, and operational delays during the Relevant Period.

RESPONSE: Yang Ming denies the allegation as unsupported by any cited document. And, in any event, no evidence has been presented to show that the shortages complained of during this period had anything to do with the specific charges at issue in this claim, as to which simply no proof is apparent from the record. See, Response No. 68 supra.

CPFF 51: Despite this awareness, Respondent continued to impose demurrage charges, disregarding the systemic barriers that made compliance with its demands impossible for Laufer and Impact Products and Safety Zone. (Ex. 1, CX_000002–000005.)

RESPONSE: Yang Ming admits that demurrage was charged during this period, but no evidence has been presented that the charges involved in this claim were invalid or had anything to do with a lack of availability or any cause beyond the shipper's control. See, Response No. 68 supra.

CPFF 52: Throughout discovery, Respondent consistently failed to provide substantive responses to Complainant's interrogatories and requests for production. (**Ex. 18, CX_000191–201.**)

RESPONSE: Yang Ming denies the allegation. Complainant has presented a highly misleading selection of the discovery communications in this case. The cited document explained that it was in response to Complainant's request for years' worth of documents involving Laufer, one of the biggest NVOCC's in the country, see <https://lgi.laufer.com/why-laufer/>, without providing information which would allow Yang Ming to limit its search to shipments involving Complainant's cargoes. (CX 191-201). While one wouldn't know it from Complainant's incomplete and erroneous characterization of events, despite continuing inadequacies of information finally provided, Yang Ming responded in full for Laufer files. See Response No. 53 supra. Accordingly, no motion to compel discovery was ever brought. See, generally, Docket 24-10.

CPFF 53: Complainant sought critical information and documents, including all communications between Impact Products/Safety Zone, Laufer, the drayage companies, and Respondent regarding the Relevant Containers and the Charges. (**Ex. 17, CX_000177–190.**) These requests were made through Interrogatory Nos. 5, 7–8, 11, 14, and 17, and Requests for Production Nos. 4–7, 14, 17, and 19. (***Id.***) Instead of complying, Respondent issued general objections and refused to identify or produce the requested materials. (**Ex. 18, CX_000191–201.**)

RESPONSE: Yang Ming denies the allegation. Complainant has presented a highly misleading selection of the discovery communications in this case. The cited document explained

that it was in response to Complainant's request for years' worth of documents involving Laufer, one of the biggest NVOCC's in the country, without providing information which would allow Yang Ming to limit its search to movements involving Complainant's cargoes. While one wouldn't know it from Complainant's incomplete and erroneous characterization of events, despite continuing inadequacies of information finally provided, Yang Ming responded in full and at massive volume for Laufer files. (Supplemental Discovery Response dated July 18, 2024, RX40; Supplemental Discovery Response dated August 8, 2024, RX42; Second Supplemental Discovery Response dated August 8, 2019, RX44; Supplemental Discovery Response dated August 13, 2024, RX48; Supplemental Discovery Response dated August 19, 2024, RX49; Second Supplemental Response dated August 19, 2024, RX 50). Accordingly, no motion to compel discovery was ever brought. See, generally, Docket Entries, FMC Case no 24-10.

CPFF 54: Despite repeated requests, Respondent also failed to produce any master bills of lading for the Relevant Containers and Charges. These requests were made through Interrogatory Nos. 10 and 14, and Requests for Production Nos. 3 and 11. (**Ex. 17, CX_ 000177–190.**)

RESPONSE: Yang Ming denies the allegation. It is remarkable, to say the least, that Complainant would lodge such an allegation without revealing or disclosing Yang Ming's repeated responsive communications on the matter. As explained for Complainant's counsel:

Responding to the below inquiry, YM does not have any additional Bills of Lading or Seaway bills, at least not to its knowledge or locatable. More importantly, it does not believe it would have such documentation in the normal course of handling a shipment of cargo for Laufer.

As the attached copy of the usual terms and conditions issued by YM to any shipper notes, both true bills of lading and Seaway bills are used by YM. Both are defined as a "Bill". Clause 1. (1).

The latter are not “documents of title” with all the legal ramification that distinction brings, but they do serve as a common transportation document. The use of a Seaway bill is always at the request of cargo interests, typically a shipper negotiates the issue with the consignee, or their agents and then the carrier is requested to use Sea Waybills in place of true Bills of Lading. My understanding is Sea Waybills simply provide for a more streamlined process for the cargo’s transportation, particularly as to “release” of the container to the consignee.

As to Laufer, typically it would receive YM’s blank Seaway bills and fill them in for each involved shipment. No true bill lading would be issued in that situation. YM receives a copy of the original Seaway bill from, here Laufer. That is all YM normally receives.

The above is my understanding based on investigation. All of it can be confirmed with Laufer or, if I am mistaken, corrected. But YM does not, as above noted, hold any more B/Ls.

Of course, any remaining issues please let me know.

(Yang Ming’s Supplemental Discovery Response dated December 3, 2024, RX51-52).

Indeed, the Service Contract, the Sea Waybill Terms and Conditions, and the witness testimony all confirm as much. Complainant’s witness testified he saw no difference between the “master” bill of lading, a “house” bill of lading, or a sea waybill:

A. I cannot designate the difference between the two as far as what we're talking about. To me, I would reference a house bill of lading or a seaway bill.

Q. Okay. So, what's a house bill of lading in your mind?

A. In my mind, it's the same as a seaway bill.

Q. Okay. And is there a distinction, such as a master bill of lading or some other -- is house bill of lading in contrast to any other kinds of bills of lading?

A. I would not call it in contrast with any different ones. There is the master bill of lading that we're familiar as well. I have seen the names on both of them. I believe it all goes on the agreement of how we do a customs release.

Q. Okay. And what's your understanding of a master bill of lading?

A. A master bill of lading, to me, is the same as a house bill of lading.

(Hallett Deposition, RX18-19).

And Yang Ming's witness further explained to Complainant's counsel that no separate "master" bill of lading were issued. (Anki Deposition, CX 20) ("Q. Got it. Do you know what a sea waybill is? And if you do, can you, again, give it a very quick summary of what it is. A. A sea waybill is -- has no hard copies. It's not negotiable."); see also, Service Contract Terms, RX10 ("The terms and conditions of the Carrier's Bill of Lading shall apply to any and all shipments tendered under this Contract. A 'Bill of Lading' shall mean a negotiable bill of lading or seaway bill of lading."); Sea Waybill Terms, RX16 ("Bill' means either (A) bill of lading, if this document is issued as a bill of lading, or (B) sea waybill, if this document is issued as a sea waybill. Notwithstanding anything else contained in or incorporated into this Bill, if it is issued as a sea waybill it will not be a document of title to the Goods.").

CPFF 55: Instead, Respondent provided only nonnegotiable seaway bills, which lack critical details typically found in master bills of lading, such as terms and conditions information. (Ex. 19, CX_000202-000205; Ex. 2, CX_000020.) These incomplete documents were insufficient to verify the underlying transactions or assess the basis for the Charges imposed by Respondent because they lacked the terms and conditions for each specific shipment. (*Id.*)

RESPONSE: Yang Ming denies the allegation. The cited Sea waybills are virtually identical in all respects to bills of lading as far as the information contained. (Sample Sea Waybills, CX 202-05). See also, Response No. 55 supra. And the cited testimony from Yang Ming's witness only confirmed that no "master" bills of lading were generated in addition to the sea waybills in accordance with standard practice and the parties' contract. See Response No. 54 supra. Moreover, Complainant's counsel has failed to identify what information would have been in a bill of lading

but is missing from a sea waybill that would have assisted Complainant in assessing the claim, accordingly.

CPFF 56: On July 12, 2024, Complainant's counsel sent a deficiency letter to Respondent's counsel, identifying Respondent's failure to substantively respond to Complainant's discovery requests. (**Ex. 20, CX_000206–252.**) The letter included a detailed spreadsheet listing the containers and bills of lading numbers relevant to the Complaint and requested that Respondent promptly cure the deficiencies and produce the requested documents, including all relevant communications and master bills of lading. (*Id.*)

RESPONSE: Yang Ming admits the subject letter was sent but denies any deficiency occurred, inasmuch as Complainant had theretofore failed to identify the shipments at issue such that Yang Ming could reasonably conduct a search for responsive material. See Responses Nos. 52 and 53 supra.

CPFF 57: Complainant's counsel followed up with Respondent's counsel multiple times, stressing the importance of the missing documents. (**Ex. 21, CX_000253–262.**) In response, Respondent's counsel claimed that no relevant email communications with Laufer, Impact Products/Safety Zone, or the drayage companies existed. Yet, counsel provided no reasonable explanation for this absence, despite the central importance of these communications to the claims in this proceeding. (*See id.*)

RESPONSE: Yang Ming denies the allegation. As communicated to Complainant repeatedly, Yang Ming has no such correspondence, because Yang Ming never received any. The subject charges were never questioned by Laufer, Impact Products, Safety Zone, or they drayage companies, and Yang Ming cannot produce documents which do not exist. See Response No. 53 supra. This was further confirmed by the witnesses at deposition. See Response No. 53 supra.

Yang Ming further notes that Complainant and its assignees and/or predecessors-in-interest have been unable to produce any such communications either. (Hallett Deposition, RX20-22; Anki Deposition, RX32-39).

CPFF 58: Complainant also repeatedly requested the master bills of lading for the Relevant Containers. (*Id.*) However, Respondent failed to produce these documents during discovery and merely stated that it did not believe it possessed them, without explaining any efforts made to locate or confirm their availability. (*See id.*)

RESPONSE: Yang Ming admits no “master” bills of lading were produced and otherwise denies the allegation. Yang Ming, the contract document, and both witnesses confirm that no “master” bills of lading would be created by Yang Ming when sea waybills had been selected. There were no “master bills of lading issued by Yang Ming, only Sea Waybills were issued by Yang Ming to Laufer. See Response No. 54 supra.

CPFF 59: Respondent’s refusal to produce key discovery materials, particularly email communications and master bills of lading, significantly hindered Complainant’s ability to fully, with a complete record, evaluate and challenge the basis for the Charges.

RESPONSE: Yang Ming denies the allegation. See Responses Nos. 53 and 54 supra.

CPFF 60: The Federal Maritime Commission’s (FMC) Interpretive Rule on Demurrage and Detention establishes that the primary purpose of these charges is to incentivize the movement of cargo and promote freight fluidity. (Ex. 5, CX_000063–66; Ex. 7, CX_000074–87.) By encouraging shippers to pick up cargo and return equipment within the allotted free time, these charges aim to optimize the use of ports and supply chain infrastructure. (*See id.*)

RESPONSE: Yang Ming objects to the allegation, as legal conclusions are improperly included in Complainant’s Proposed Findings of Fact, and Yang Ming defers all matters of law to the Administrative Law Judge.

CPFF 61: This principle places the burden of congestion on those best positioned to address it—such as ocean common carriers, seaports, and marine terminal operators—while recognizing that shippers should not be penalized for delays caused by factors beyond their control. (Ex. 5, CX_000063–66.)

RESPONSE: See, Response No. 60 supra.

CPFF 62: Under 46 U.S.C. § 41102(c) and 46 CFR § 545.5, the FMC is authorized to assess whether detention and demurrage charges are reasonable. (Ex. 7, CX_000074–87.) For purposes of these rules, the FMC considers demurrage and detention “to encompass any charges, including per diem, assessed by ocean common carriers, marine terminal operators... related to the use of marine terminal space or shipping containers...” (*Id.*) Charges that fail to incentivize cargo movement, or that are imposed in situations where compliance is impossible, are deemed unreasonable. (*See id.*)

RESPONSE: See, Response No. 60 supra.

CPFF 63: The FMC evaluates the reasonableness of detention and demurrage charges based on several factors. These include, but are not limited to, whether the charges are tied to cargo availability, and whether carriers provide timely and clear notice of availability. (*Id.*)

RESPONSE: See, Response No. 60 supra.

CPFF 64: The FMC also may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding

demurrage and detention billing. (*Id.*) In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. (*Id.*) Practices that disregard these considerations are likely to be found unreasonable. (*See id.*)

RESPONSE: See, Response No. 60 supra.

CPFF 65: The Interpretive Rule on Demurrage and Detention is not merely advisory. It is the FMC's official interpretation of what constitutes unreasonable practices under 46 U.S.C. § 41102(c) and serves as the foundation for investigations into violations. (**Ex. 5, CX_000063–66.**) Noncompliance may result in civil penalties or other enforcement actions. (*Id.*)

RESPONSE: See, Response No. 60 supra.

CPFF 66: Through Fact Finding 29 and subsequent guidance, the FMC has reinforced that detention and demurrage charges must align with their purpose of incentivizing cargo movement. Imposing charges during periods of widespread equipment shortages or port congestion—when shippers cannot reasonably comply—violates FMC principles and is subject to scrutiny. (**Ex. 5, CX_000063–66; Ex. 7, CX_000074–87.**)

RESPONSE: See, Response No. 60 supra.

CPFF 67: Despite the clear guidance established by the FMC, Respondent's practices during the Relevant Period blatantly disregarded these standards during the Relevant Period.

RESPONSE: Yang Ming denies the allegation as unsupported by any cited documents and as at odds with all of the documents and testimony in this case.

CPFF 68: Respondent continued to impose demurrage and detention charges on Laufer and the drayage companies Laufer used, even though systemic challenges—like chassis

shortages and port congestion—made it impossible for Laufer to retrieve or return containers within the allotted free time. (Ex. 1, CX_000002–000006; Ex. 4, CX_000032–000058.)

RESPONSE: Yang Ming denies the allegation. Only general assertions of the well-known increase in chassis shortages and port congestion during the period have been raised by Complainant in the cited documents. No evidence whatsoever has been presented to suggest that any of the actual charges at issue resulted from such shortages or congestion which might warrant a waiver. Complainant has failed to document any specific dispute, Laufer has not stated that it ever disputed any charge, and Yang Ming has confirmed that none of these charges were, in fact, disputed. Nor has any evidence since been brought forward to establish any particular charge for which compensation is sought was invalid due to such conditions. (Hallett Deposition, RX20-22; Anki Deposition, RX32-39); see also Responses Nos. 53 and 57 supra.

CPFF 69: These practices directly contravene the FMC’s principle that demurrage and detention charges must incentivize cargo movement rather than penalize shippers for circumstances outside their control. (Ex. 7, CX_000074–87.)

RESPONSE: Yang Ming denies the allegation. See Response No. 68 supra.

CPFF 70: Respondent failed to adjust its assessment of demurrage and detention charges despite being fully aware of the widespread challenges during the Relevant Period. (Ex. 14–16; CX_000151–000176.) Rather than mitigating the impact of systemic obstacles, Respondent continued its routine charging practices without any consideration of the barriers faced by Laufer, the drayage companies used by Laufer, Impact Products and Safety Zone. (Ex. 1, CX_000002–000005; Ex. 4, CX_000032–000058; *see* Ex. 2, CX_000018.)

RESPONSE: Yang Ming denies the allegation. The cited materials support no such contention. And the record shows, without contradiction, that Yang Ming was at all times ready,

willing, and able to investigate, assist, and respond to any such issue raised, but no dispute, let alone supporting evidence, was ever presented with respect to the charges at issue. See Response No. 68 supra.

CPFF 71: During her deposition, Ms. Anki testified that demurrage charges “have to be fair.” (Ex. 2, CX_000017–18.) Yet, she also admitted that Respondent’s demurrage fees increased during 2021–2022. (*Id.*) This direct contradiction—publicly acknowledging the need for fairness while simultaneously escalating fees—highlights the unreasonableness of Respondent’s practices, especially when coupled with Respondent’s knowledge of the systemic issues during the Relevant Period. (Ex. 14–16, CX_000151–000176; Ex. 2, CX_00002123.)

RESPONSE: Yang Ming denies the allegation. As Yang Ming’s auditing accountant confirmed, the demurrage rates charged by Yang Ming during this period were in accordance with the parties’ contract and the published tariff and in line with other similarly situated carried in the subject trades. (Vogt Report, RX53-78).

CPFF 72: The demurrage invoices produced by Respondent during discovery further illustrate a lack of transparency and accountability in its demurrage practices. (Ex. 22, CX_000263–000279.) These invoices failed to provide any explanation of the basis for the Charges or dispute resolution information, such as how to challenge the Charges, who to contact, or what documentation to include. (*Id.*) They also did not specify any timelines for disputing the Charges. (*Id.*)

RESPONSE: Yang Ming denies the allegation. The cited documents contain a plethora of information, including, inter alia, the bill of lading, container, voyage, ports, terminals, dates, tariff terms, and the basis for the calculations in detail. (CX 262-69). Yang Ming further notes that all of the invoices in this case precede the passage and effective date of the Ocean Shipping Reform

Act of 2022 and its obligations; Laufer, a large and sophisticated NVOCC, has not expressed any confusion about the invoices and dispute resolution procedures in place at the time; and Yang Ming's witness confirmed that issues were routinely investigated and waivers issued whenever a dispute with supporting evidence was communicated to Yang Ming. (Anki Deposition, RX32-39).

CPFF 73: This omission left shippers like Complainant without a clear process for addressing potentially erroneous or unreasonable Charges.

RESPONSE: Yang Ming denies the allegation. See Response No. 73 supra.

CPFF 74: When questioned about Respondent's dispute resolution procedures, Ms. Anki, provided vague and incomplete answers. (**Ex. 2, CX_000024.**) She stated:

- "So if a client feels they want to dispute ..., they have the right to do so. They can come and dispute." (*Id.*)
- "A client can dispute, but it's all reviewed. The facts have to be provided ... And [the client must] deliver all back[up], or necessary proof must be given." (*Id.*)
- "[The client must] contact their salesperson. They can contact customer service, and they can do all that. The customer service department receive[s] [the dispute], and we process it and pass it onto the department that reviews [the dispute] ... at headquarters." (*Id.*)

RESPONSE: Yang Ming denies the allegation. There is nothing vague or incomplete about the cited testimony.

CPFF 75: However, when asked what factors Respondent considers in reviewing disputed charges, Ms. Anki admitted she did not know what criteria were applied. (*Id.*)

RESPONSE: Yang Ming denies the allegation. The witness merely stated that, once received, disputes were forwarded to and handled by a different department, and she could not testify as to its procedures. (CX 24). Moreover, the particular criteria are hardly relevant, inasmuch

as there is no cavil apparent from the record that no dispute relative to the charges at issue was ever communicated to Yang Ming by Laufer or anyone else. See Response No. 68 supra.

CPFF 76: Respondent’s own rebuttal expert, Carl Vogt, recognized the deficiencies in Respondent’s dispute resolution process. In his report, he acknowledged that “while it’s not impossible, negotiating demurrage charges with Respondent is challenging.” (Ex. 24, CX_000328.)

RESPONSE: Yang Ming denies the allegation. No “deficiencies” are noted in the cited document. And the “challenging” aspect is described only as the increased chances of obtaining a waiver when supporting evidence is supplied, a requirement to which Congress subsequently lent its imprimatur in OSRA22 years later. (CX 28). And, it apparently must be reiterated, no dispute was ever communicated about any of the charges in this case. See Response No. 68 supra.

CPFF 77: Respondent’s disregard for FMC guidance and the Shipping Act directly resulted in significant financial harm to the Injured Parties. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 2,149 containers using Respondent’s vessels. (Ex. 1, CX_000002–000005.) Of these, Respondent imposed demurrage charges on 309 containers, detention charges on one container, per diem charges on 39 containers, and yard storage charges on 358 containers. (*Id.*) In total, Respondent assessed \$1,304,526.00 in Charges against the Injured Parties. (*Id.*)

RESPONSE: Yang Ming denies the allegation. Not all of the charges were generated by Yang Ming. (Anki Deposition, RX27-29).

CPFF 78: These calculations are derived from the damages spreadsheet that Complainant provided to Respondent during discovery. (Ex. 4, CX_000032 to CX_000058.) This spreadsheet was meticulously prepared using invoices from Laufer, which detailed the Charges

assessed by Yang Ming. **(Ex. 1, CX_000002–000004.)** The invoices included key information, such as the container numbers associated with each charge, the corresponding master bill of lading, and the ocean carrier responsible for transporting the cargo. **(Id.)**

RESPONSE: Yang Ming denies the allegation. See Response No. 77 supra.

CPFF 79: Mr. Lawrence Hallett (“Mr. Hallett”), the former Director of Global Logistics for Supply Source Enterprises and the current Director of Global Logistics for the Tranzonic Companies, verified the accuracy of these charges. **(Id. CX_000001–000006.)** Mr. Hallett’s review ensured that the spreadsheet was an accurate and reliable summary of the Charges assessed by Respondent during the Relevant Period.

RESPONSE: Yang Ming denies the allegation. See Response No. 77 supra.

CPFF 80: In addition to the financial burden of these unreasonable charges, Impact Products and Safety Zone also suffered significant operational harm. **(Id. CX_000002–000005.)** Due to the port congestion and equipment shortages that Respondent ignored, they frequently received their goods late, disrupting their supply chain and adversely affecting their ability to meet business obligations. **(Id.)**

RESPONSE: Yang Ming denies the allegation. Complainant has not shown that the charges were unreasonable or due to congestion and equipment shortages beyond the control of the shipper or its agents. See Response No. 68 supra.

CPFF 81: The cumulative effect of these harms was devastating to Impact Products and Safety Zone. Respondent’s practices, combined with the broader systemic challenges during the Relevant Period, contributed to severe financial strain. This strain was one of the factors that ultimately forced Impact Products and Safety Zone to file for bankruptcy.

RESPONSE: Yang Ming denies the allegation as unsupported by any cited material or otherwise.

CPFF 82: Impact Products' and Safety Zone's financial and operational losses directly resulted from Respondent's refusal to follow FMC guidance and its failure to adopt reasonable practices during the Relevant Period. (*Id.*)

RESPONSE: See Response No. 82 supra.

CPFF 83: According to the expert report of John D. McCown, Respondent's financial performance improved dramatically during the Relevant Period. (Ex. 23, CX_000288–291.) While Respondent's net income-to-revenue margin lagged behind the industry prior to the COVID-19 pandemic, by 2021 it was significantly outperforming or matching industry averages. (*Id.* CX_000288–297.) This shift was driven by aggressive pricing practices that exceeded those of many competitors. (*Id.* CX_000837; *see* Ex. 25, CX_000343.)

RESPONSE: Yang Ming denies the allegation. Complainant improperly relies on the purported expert opinion of John McCown which:

admittedly declines to consider the actual demurrage and detention ("D&D") invoices and charges at issue produced in detail by YMMT and the complete lack of evidence from the Complainant as to how, if at all, Complainant was prevented from complying with its equipment interchange obligations. Rather, he engages in a convenient "macro" analysis of his own invention in an effort to identify in YMMT's aggregated financial data purported historical over or under performance so as to indicate some sort of nefarious scheme to overcharge for D&D in a manner which was purportedly excessive by industry standards. But his approach is so overbroad and lacking in any reasonable effort to tailor the focus to the particular circumstances involved in this dispute as to be misleading at worst, and practically worthless at best. When the specific charges at hand are properly assessed, the record confirms that no proof whatsoever of any fault on the part of YMMT has been adduced and simply nothing untoward occurred here.

Additionally, apparently based on nothing more than his "hands on experience," Mr. McCown seems to adopt conclusions of law which are at

odds with those of the FMC, the courts, and the common understandings of maritime actors. He challenges Yang Ming's standard D&D rates as excessive relative to cost and world-wide industry averages, while YMMT's D&D rates were, in fact, comparable to competitors in the US market. We must also be mindful that these rates were agreed by the parties as a matter of contract, are in accordance with the published tariff, relate directly to expenses in the concerned trades, and assist the incentive principle in increasing supply chain fluidity.

(Vogt Report, RX53-78; McCown Report, CX 280-324).

Yang Ming's expert thus concluded:

In summary, therefore, I believe Mr. McCown's conclusions are based on faulty assumptions and flawed reasoning. No "excessive" accessorial charges were, in fact, assessed by YMMT, and Complainant's claim has been padded by not-"inconsequential" charges from third-party intermediaries. And, in the absence of any evidence to meet its burden of proving that the D&D charges were invalid, Complainant attempts through the sorry expedient of this "expert" opinion to establish a violation based on nothing more than a statistical analysis. I'm not convinced such an approach should ever suffice with respect to an inquiry into the propriety of such D&D charges under the Shipping Act.

But, even assuming *arguendo* a statistical analysis might inform a decision in this kind of case, simplistic, over-broad, non-narrowly-tailored, industry-wide earnings comparisons are demonstrably inadequate. World-wide industry statistical analysis is a wrongheaded approach, when industry statistics in the United States shipping market in which the Complainant actually participated as a sophisticated shipper are available and directly contradict it. When the data is parsed, and the types of D&D charges at issue are compared to similarly situated carriers with respect to similarly situated trades, any alleged disparity with respect to YMMT vanishes and the claim remains wholly empty.

(Vogt Report, RX53-78).

Indeed, such a conclusion is now further bolstered by the subsequent disclosure that Complainant has not just brought an FMC claim against Yang Ming, but also at least five other carriers. (Assignment, CX 8). The fact that Complainant has asserted such Shipping Act violations against apparently every other carrier it used surely belies any suggestion that Yang Ming's practices were somehow at odds with others in these trades. Id.

CPFF 84: In his report, Mr. McCown observed that, despite Respondent's surging revenue, its movement of Twenty-foot Equivalent Unit ("TEU") cargo volume declined during the Relevant Period. (*Id.* CX_000296–299.) This decline coincided with a reduction in available vessel and terminal assets, highlighting a stark contrast between Respondent's operational activity and its significant revenue growth. (*Id.*)

RESPONSE: See Response No. 84 supra. Each of Mr. McCown's conclusions is rebutted in detail, seriatim, in Mr. Vogt's Report. (Vogt Report, RX53-78).

CPFF 85: This is significant because demurrage and detention charges are included in Respondent's total annual revenue. (*Id.* CX_000296.) Respondent's own rebuttal expert, Carl Vogt, confirmed that these charges are included in Respondent's annual revenue, highlighting the financial importance of these fees to Respondent's profitability. (Ex. 25, CX_000342.)

RESPONSE: Yang Ming denies the allegation. Demurrage and detention charges during this period were in line with other similarly situated carriers in the subject trades. See Response No. 84 supra. Each of Mr. McCown's conclusions is rebutted in detail, seriatim, in Mr. Vogt's Report. (Vogt Report, RX53-78).

CPFF 86: Mr. McCown's analysis further revealed that Respondent's demurrage, detention, and per diem rates at U.S. ports were between 160 and 266 times the total ownership and maintenance costs of a single container. (Ex. 23, CX_301.)

RESPONSE: Yang Ming denies the allegation as based on a highly flawed, unscientific analysis. Yang Ming's rates were in accordance with the parties' contract and the published tariff and its revenues in line with other similarly situated carriers in the subject trades. See Response No. 84 supra. Each of Mr. McCown's conclusions is rebutted in detail, seriatim, in Mr. Vogt's Report. (Vogt Report, RX53-78).

CPFF 87: Mr. McCown also found that there was no meaningful opportunity cost associated with unavailable containers during the Relevant Period. (*Id.* CX_000300–303.) As with the broader shipping industry, Respondent’s vessels were operating at full capacity between Asia and the United States. (*Id.*) This meant that a specific container’s unavailability did not result in lost shipments because there was no additional vessel capacity to accommodate extra loads. (*Id.*)

RESPONSE: Yang Ming denies the allegation. See Response No. 84 supra. Each of Mr. McCown’s conclusions is rebutted in detail, seriatim, in Mr. Vogt’s Report. (Vogt Report, RX53-78).

CPFF 88: Between the second quarter of 2020 and the fourth quarter of 2022, the top nine container carriers, including Respondent, generated \$11.7 billion in demurrage and detention income. (*Id.* CX_000307–308.) These carriers collectively represented 75.5% of the total container shipping industry revenue during this period, underscoring the significant role these fees played in the industry’s profitability. (*Id.*)

RESPONSE: Yang Ming denies the allegation. See Response No. 84 supra. Each of Mr. McCown’s conclusions is rebutted in detail, seriatim, in Mr. Vogt’s Report. (Vogt Report, RX53-78).

CPFF 89: Moreover, publications cited in Respondent’s own rebuttal report confirm that Yang Ming was among the ocean carriers with the highest demurrage and detention rates during the Relevant Period, which demonstrates that Respondent’s financial success was partly reliant on these charges. (Ex. 24, CX_000334.)

RESPONSE: Yang Ming denies the allegation. See Response No. 84 supra. Each of Mr. McCown’s conclusions is rebutted in detail, seriatim, in Mr. Vogt’s Report. (Vogt Report, RX53-78).

CPFF 90: The Charges assessed by Respondent caused significant financial harm to Impact Products and Safety Zone. **(Ex. 1, CX_000001–000006.)** Respondent imposed \$1,304,526.00 in total demurrage, detention, per diem, and yard storage charges on Laufer, which Laufer then passed through to Impact Products and Safety Zone without any markups. **(Id.)**

RESPONSE: Yang Ming denies the allegation. See Responses Nos. 29 and 68 supra.

CPFF 91: These excessive Charges were assessed despite systemic delays caused by port congestion and equipment shortages, over which neither Laufer nor the Injured Parties had any control. **(Id.)**

RESPONSE: Yang Ming denies the allegation. See Response No. 68 supra.

CPFF 92: The financial burden of these Charges contributed to the operational and economic challenges faced by Impact Products and Safety Zone during the Relevant Period, further straining their business operations and compounding the difficulties caused by Respondent’s unreasonable practices. **(Id.)**

RESPONSE: Yang Ming denies the allegation. See Response No. 68 supra.

CPFF 93: Complainant, as the successor in interest to Impact Products and Safety Zone’s claims against Respondent in this proceeding, seeks reparations for Respondent’s unlawful conduct in the amount of \$1,304,526.00 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys’ fees as “the prevailing party” under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

RESPONSE: Yang Ming denies the allegation as unsupported by any citation to the record.

Dated: New York, New York
January 10, 2025

Respectfully submitted,

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